# Bean & Co. should prioritise Bristol, but invest only after a site clears commercial hurdles

**Recommendation**

## Prioritise Bristol for site search and due diligence; approve one proof-point store only if a specific site clears commercial hurdles.

**WHY BRISTOL**

**69.47**

#1 fully evaluated market
Strong premium-customer profile
#1 in 6/6 weighting scenarios

**HOW TO ENTER**

**1 store**

Clifton / Whiteladies Road or
Gloucester Road / Stokes Croft
Premium urban café proposition

**INVESTMENT GATE**

**Conditional**

Proceed only if site volume, occupancy and return hurdles are met

| Strategic priority | Site search | Robustness | Investment approval |
|---|---|---|---|
| BRISTOL | 2 CATCHMENTS | 6 / 6 | SITE-DEPENDENT |

Source: ONS, Nomis, property and competitor research; Bean & Co. analysis. Bean & Co. is hypothetical.

# Capital constraints make market selection critical: Bean & Co. needs premium demand and scalable economics

**CURRENT FOOTPRINT**

**40** hypothetical stores concentrated in London & South-East England

→

**MARKETS SCREENED**

**5** Manchester · Birmingham · Leeds Bristol · Edinburgh

→

**DECISION**

**1** priority expansion market under limited capital

**DECISION REQUIRED**

**Which city offers the strongest combination of premium-customer demand and viable store economics?**

**ENTRY DESIGN AFTER CITY SELECTION**

| WHERE | WHO | FORMAT | WHEN TO SCALE |
|---|---|---|---|
| Priority catchments | Target customers | Store proposition | Commercial gates |

Bean & Co. and the 40-store footprint are hypothetical assumptions developed for this independent strategy case study.

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# Five cities were assessed consistently across customer attractiveness, market conditions and store economics

### CUSTOMER ATTRACTIVENESS

## 50%

- Population growth
- Earnings
- Qualifications
- Target-customer indicators

### MARKET ATTRACTIVENESS

## 25%

- Coffee-shop density
- Chain presence
- Premium competition
- Market opportunity

### STORE ECONOMICS

## 25%

- Rent & occupancy
- Labour costs
- Store contribution
- Capital implications

CITY SELECTION → **Bristol catchment analysis** → **Store economics** → **Entry recommendation**

**Observed market data and explicit Bean & Co. assumptions were kept separate throughout the analysis.**

Source: ONS/NRS, Nomis/ASHE, Census/HESA, UK Business Counts, commercial property and operator research; Bean & Co. analysis.

Source: ONS, Nomis, HESA, government datasets, commercial property and company/store research; Bean & Co. analysis.

# Bristol combines strong purchasing power, a highly qualified customer base and above-average population growth




**BRISTOL PROFILE**

**£781** median weekly earnings

**5.0%** population growth

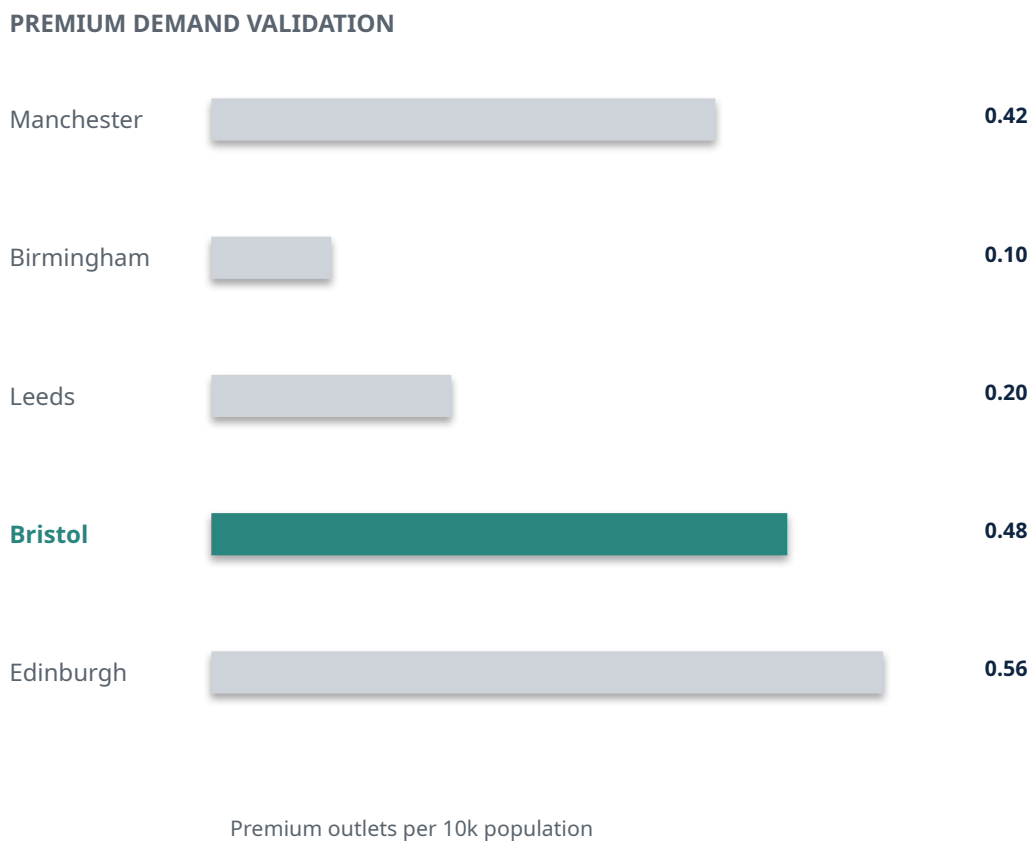
**60.4%** RQF4+ qualification share

Bristol is smaller than Birmingham or Leeds, but its combination of growth and customer quality is more aligned to a premium proposition.

Source: ONS/NRS population estimates (2025); Nomis/ASHE earnings; Census qualification data; Bean & Co. analysis.

# Bristol validates premium demand without Edinburgh's exceptionally high overall coffee-shop density

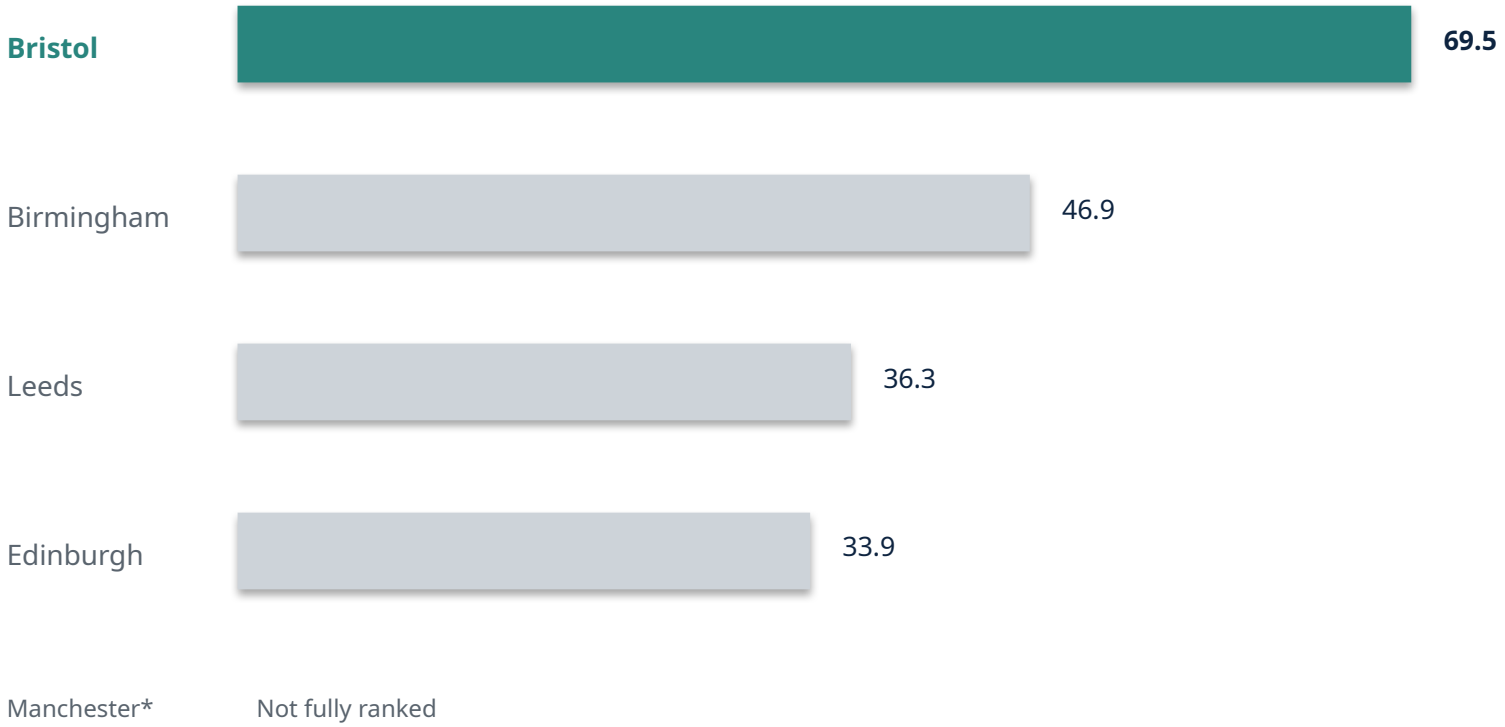



**Bristol combines relatively moderate total coffee density with one of the strongest premium presences — supporting demand without implying an uncontested market.**

Source: Nomis / UK Business Counts; manually compiled operator and store-location research; Bean & Co. analysis.

# Bristol ranks first among fully evaluated cities and remains preferred under alternative weightings




**+22.6**
points vs. #2

**6 / 6**
weighting scenarios rank Bristol #1

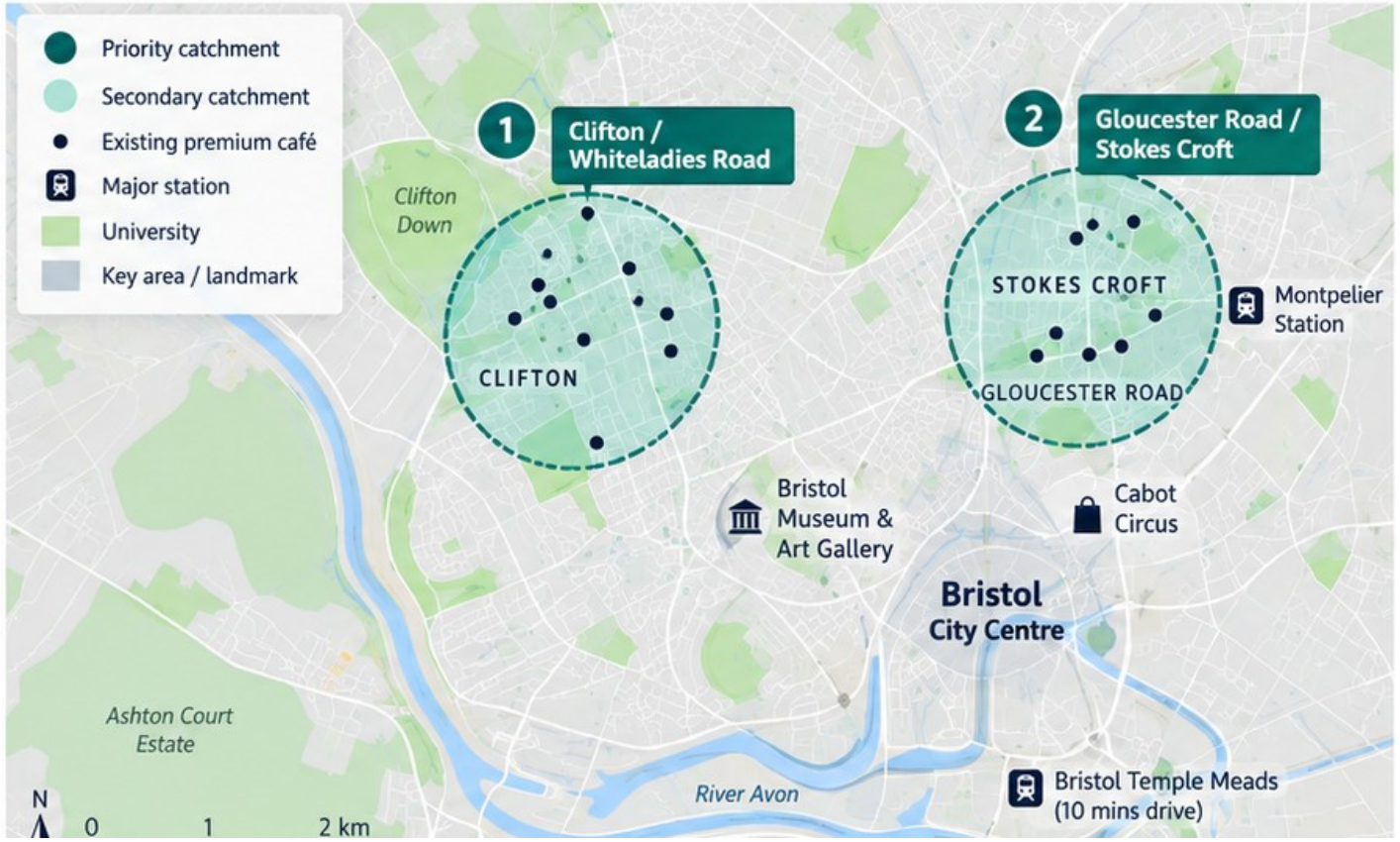
Manchester threshold

**~87.6 economics score required to beat Bristol**

* No final Manchester composite score was imputed because comparable occupancy evidence was incomplete.

Source: Bean & Co. city-attractiveness model. Base weights: Customer 50%, Market 25%, Economics 25%.

# Prioritise Clifton/Whiteladies Road or Gloucester Road/Stokes Croft for a premium urban café




ENTRY MODEL

TARGET

Young professionals · affluent residents · students / knowledge workers

FORMAT

Premium urban café · dine-in + takeaway · quality-led but accessible

INITIAL FOOTPRINT

**1 proof-point store**

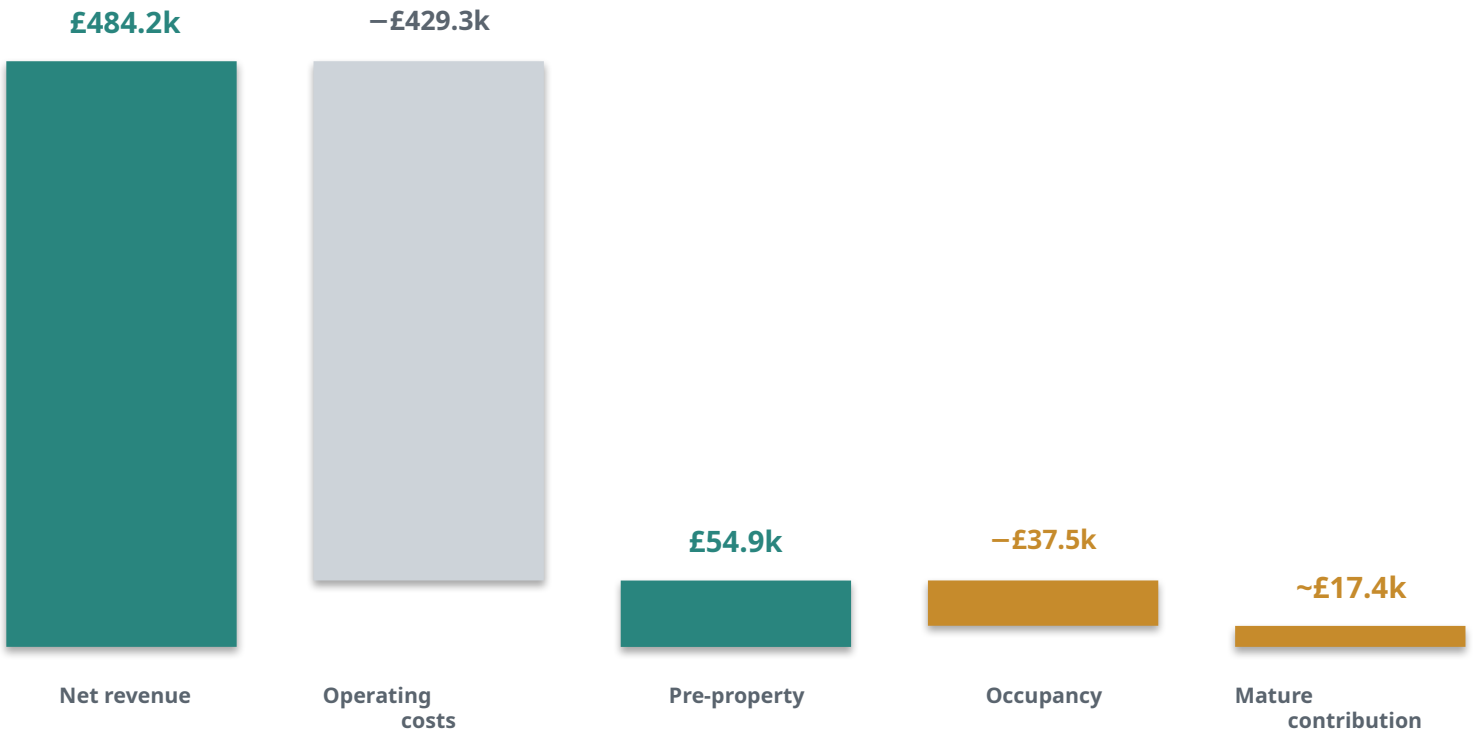
Illustrative Whiteladies benchmark

**1,331 sq ft | £37.5k rent | ~£28.17 psf**

Source: Bristol catchment analysis, competitor mapping and commercial property research; Bean & Co. analysis. Property benchmark illustrative.

# Bristol leads strategically, but current site economics do not yet justify investment

REPRESENTATIVE MATURE STORE




OPENING CASH

**£304k**

base requirement

£130k fit-out
£60k equipment
£32k furniture / POS
£82k other opening needs

**Investment approval should remain conditional on a site-specific return hurdle.**

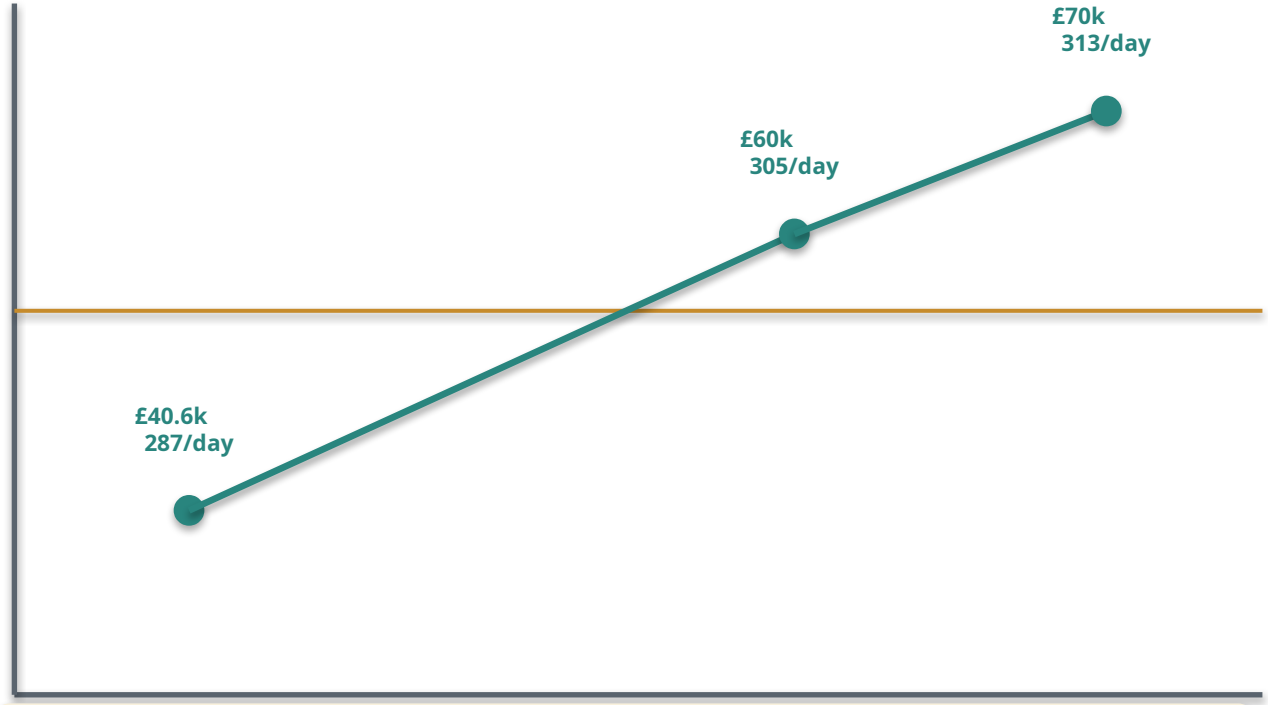
Revenue shown net of VAT. Occupancy uses the representative Bristol benchmark.

Source: Bean & Co. repaired financial model and Bristol property research. Hypothetical scenario estimates; revenue net of VAT.

# Store viability is sensitive to occupancy economics, while Bristol remains strategically robust

**BREAK-EVEN TRANSACTIONS / DAY**

Higher occupancy cost requires higher daily transaction volume to break even




No generic volume hurdle is assumed - each candidate site must be tested against its own occupancy cost.

**6 / 6** weighting scenarios rank Bristol #1

**DECISION IMPLICATION**

**Strategic choice is robust.**

But the site must support enough daily volume to offset its occupancy cost.

**Use the site-specific hurdle test before lease approval.**

Source: Bean & Co. city-attractiveness sensitivity analysis and repaired financial model.

# Validate site economics before investing; scale only after the first store proves the model

**1 VALIDATE**

## 0–3 months

Shortlist sites
Validate catchment
Negotiate lease
Build site P&L

→

**2 LAUNCH**

## 3–9 months

Fit-out
Recruit
Launch
Optimise operations

→

**3 PROVE & SCALE**

## 9–18 months

Track KPIs
Optimise performance
Assess second site

**GO / NO-GO**

Site clears volume, occupancy and return hurdles

**SCALE / HOLD**

First store clears performance gates

**KPIs** Sales / store | Transactions / day | Mature contribution | Occupancy % of sales

**Bristol priority | investment conditional**

Source: Bean & Co. analysis. Timing and KPI gates are recommended implementation parameters, not historical company plans.

# Methodology and metric definitions

Decision model evolved as evidence availability became clearer; changes are documented rather than back-fitted.

| | | |
|---|---|---|
| **Customer attractiveness** | **50%** | Population growth, earnings, qualifications and target-customer indicators |
| **Market attractiveness** | **25%** | Coffee-shop density, chain presence, premium competition and market opportunity |
| **Store economics** | **25%** | Rent/occupancy, labour, store contribution and capital implications |

**Method principle** — **Observed data, derived metrics and hypothetical Bean & Co. assumptions were kept separate; unsupported Manchester economics were not imputed.**

# Full city scorecard

Final ranking among fully evaluated cities.

| | | | |
|---|---|---|---|
| **Bristol** | **69.47** | **#1** |  |
| Birmingham | **46.89** | **#2** |  |
| Leeds | **36.31** | **#3** |  |
| Edinburgh | **33.89** | **#4** |  |
| Manchester | **N/A** | **Incomplete** | |

Manchester was not assigned a final composite score because comparable occupancy evidence was incomplete.

**Threshold analysis: Manchester would require an Economics score of ~87.6 to exceed Bristol.**

# Weighting sensitivity

Bristol remained the preferred market across all six alternative weighting scenarios tested.

**6 / 6**

**alternative weighting scenarios ranked Bristol #1**

Interpretation

**The recommendation is not an artefact of one chosen weighting set. Strategic robustness is high; residual uncertainty is concentrated in site-specific occupancy economics.**

Base weights

**Customer 50% | Market 25% | Economics 25%**

# Key financial assumptions and outputs

Hypothetical scenario model; not historical Bean & Co. performance.

**Gross till sales**

**£581.0k**

**Representative occupancy**

**£37.5k**

**Net revenue ex-VAT**

**£484.2k**

**Mature contribution**

**~£17.4k**

**Pre-property contribution**

**£54.9k**

**Opening cash requirement**

**£304k**

**Investment implication: Bristol is the strategic priority, but lease approval remains conditional on a site-specific volume and return hurdle.**

# Sources, limitations and evidence discipline

Portfolio version - designed to make the analytical provenance explicit.

| | |
|---|---|
| **Population** | ONS / NRS population estimates; 2025 values used in final city comparison |
| **Earnings** | Nomis / ASHE |
| **Qualifications** | Census qualification data |
| **Competition** | Nomis / UK Business Counts + manually compiled operator/store-location research |
| **Property** | Commercial property research; Whiteladies benchmark illustrative |
| **Financials** | Hypothetical Bean & Co. operating assumptions and repaired financial model |
| **Manchester** | No final composite score imputed because comparable occupancy evidence was incomplete |
| **Source vintages** | Exact release/access dates should be retained in the GitHub source log where available |

**Bean & Co. is hypothetical. The case demonstrates problem structuring, market research, Excel modelling, commercial judgement and executive communication.**